

Mutual Funds, Effort, Performance, and Making Yourself Valuable

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October 9, 2024

What Are Mutual Funds?

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- Denomination intermediation.
 - What's a share of Berkshire Hathaway cost right now?
- Diversification.
- Cost advantages.
- **Managerial expertise.**
 - Fund managers are seen as highly trained, highly skilled, informed investors.
 - We call these managers “Active Managers.”

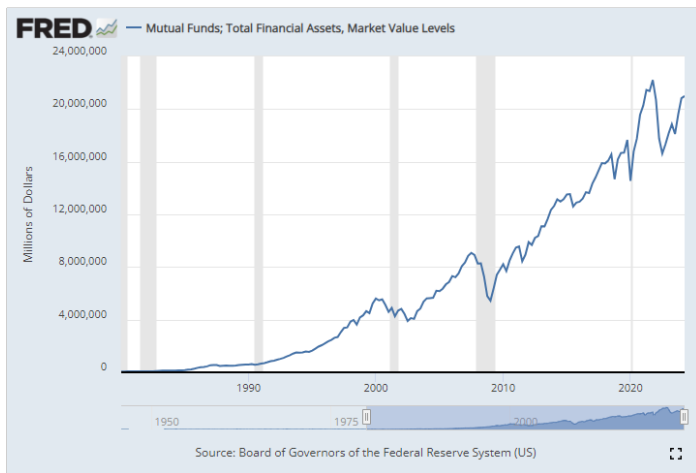
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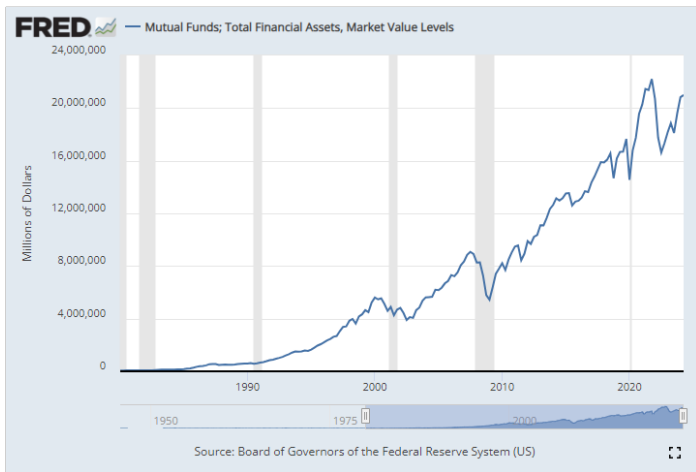
Mutual funds provide a lot of advantages and investors really like them, especially for retirement.

Mutual Fund Growth



- \$50 billion and 600 funds in 1980.
- \$20-\$25 trillion and 8,000 funds in 2024.

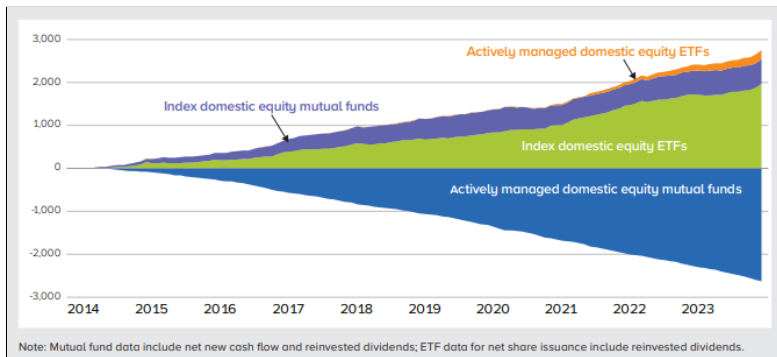
Mutual Fund Growth



- Revenue Act of 1978 *created* 401(k) plans.
- Increasingly mobile workforce and shift from pensions.

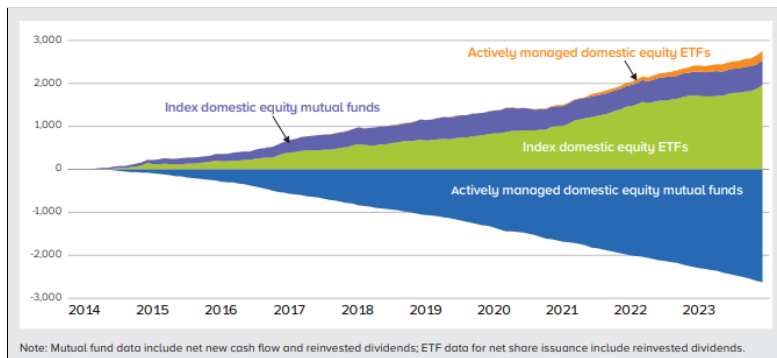
The Rise of Passive Funds

Beginning in the 1990s, **passive** or **index** mutual funds (and ETFs) rose in prominence.



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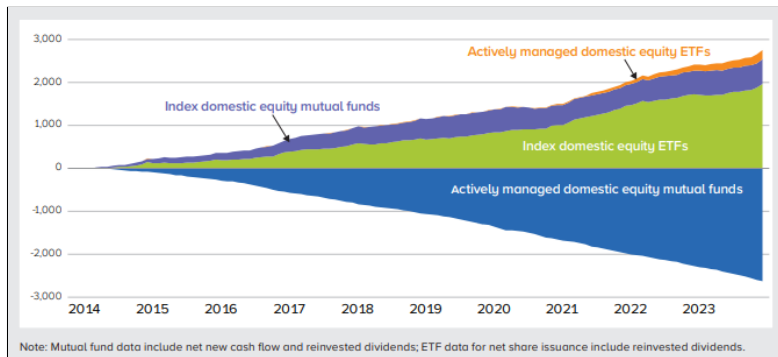
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- \$0.5 trillion tracking S&P 500 in 1995.
- \$1 trillion tracking S&P 500 in 2010.
- \$7 trillion tracking S&P 500 by 2021.

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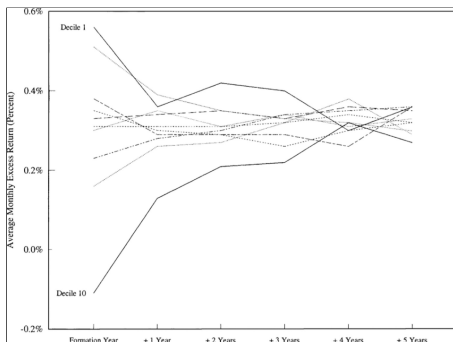
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Why the shift?

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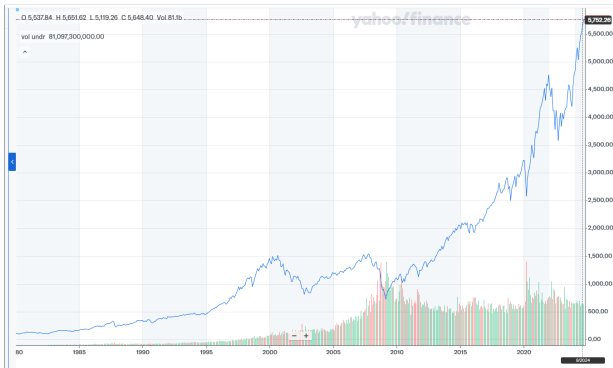
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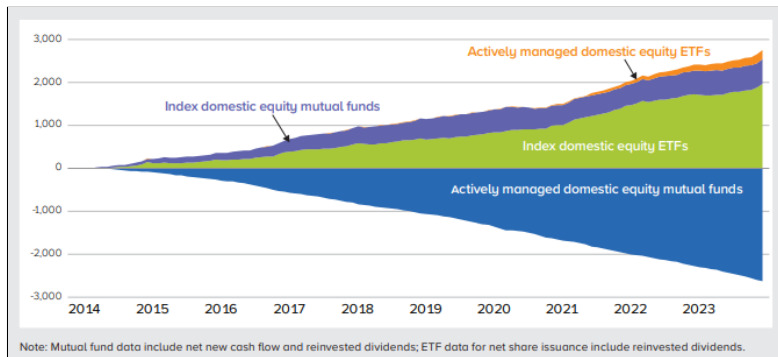
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- Indices in the US have done well historically.

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\$3 trillion from active to passive US funds since 2014.

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- Increased correlation among stock prices due to index-driven trading.
- Market concentration as more money flows into a few large indices.
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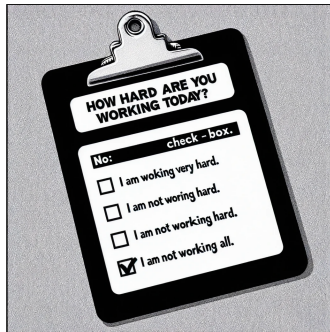
- However, the **active managers** who survive may be skilled.

What can we learn from them?

Measuring Fund Manager Effort: The Hard Way



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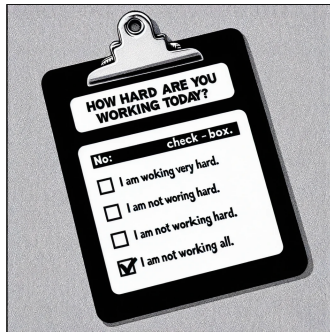
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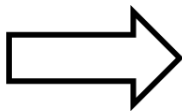
40 employee workdays.



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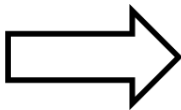
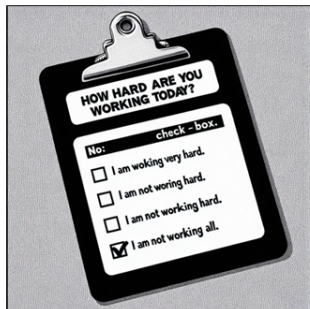
Effort score of 10.

Measuring Fund Manager Effort: The Easy Way



We can tie **EDGAR usage** to mutual funds and observe their day-to-day activity of viewing (requesting) filings.

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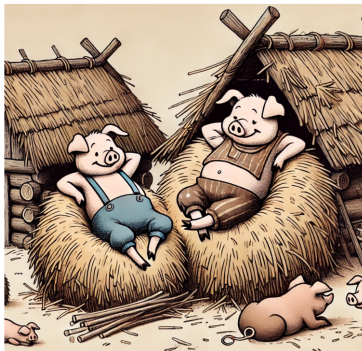


And we can focus on their **weekend work** to get an idea of the extra **effort** they exert.

Measuring Fund Manager Effort: The Findings

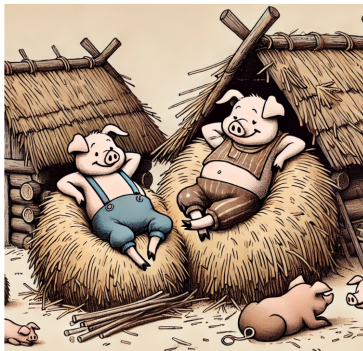
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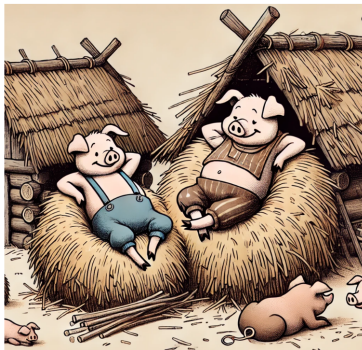
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- Ability.
 - Better managers get more return to effort.
- **Conviction** or **Confidence**.
 - Managers with more unique portfolios (higher active share) who rebalance less often (less turnover) see the largest rewards from more effort.

Why Does This Matter For MBA Students?

- Be a Hard Worker: Effort Works.



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- Be a Hard Worker: Effort Works.
- Be Smart: Fill Up Your Toolbelt.
 - Technical skills: financial modeling, coding, data analysis.
 - Soft skills: leadership, negotiation, team collaboration.
 - Practice business **judgment**.



Why Does This Matter For MBA Students?

- Be a Hard Worker: Effort Works.
- Be Smart: Fill Up Your Toolbelt.
- Be Curious: Take Calculated Risks.
 - A **high active share** strategy is also high risk.
 - The best mutual fund managers take risks.



Why Does This Matter For MBA Students?

- Be a Hard Worker: Effort Works.
- Be Smart: Fill Up Your Toolbelt.
- Be Curious: Take Calculated Risks.
- Be Confident: Trust Your Abilities and Judgment.
 - Consider a high active share, low turnover strategy.



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- Be Curious: Take Calculated Risks.
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- Be Resilient: Learn from Setbacks.
 - Managers do better after hard times.



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- Be Curious: Take Calculated Risks.
- Be Confident: Trust Your Abilities and Judgment.
- Be Resilient: Learn from Setbacks.
- Be Incentivized: Set Yourself Up for Success.
 - You won't work hard, or tool-up, or practice judgment or anything if you aren't facing the proper incentives.
 - Hopefully your employer has proper incentives.
 - You can make contracts with yourself to set up incentives.

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 - Don't become an AI expert. Become an **expert on how to use AI.**
 - Experiment. Find the high-value uses.
- **Develop your judgment!**
 - Practice making decisions and thoughtfully learn from outcomes.
 - Seek mentors and learn from others' experiences.
 - **Read and observe.**
 - Has a liberal arts degree become more valuable?

Questions?

Thank you!